WEEK 6 · LECTURE L3 · UNIT II

Course Correction: Change Models for a Stalled Rollout

When to scale, fix, retrain or pause; what Lewin, Kotter and ADKAR each contribute; and why projects that should stop keep going.

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AFTER THIS LECTURE YOU SHOULD BE ABLE TO

What this lecture prepares you for

1. Explain Lewin, Kotter and ADKAR, each at its own level, and use them together.
2. Diagnose a stalled rollout and match the response (scale, fix integration, retrain, pause) to the barrier.
3. Explain why decision rules must be set before results arrive, using escalation of commitment and the sunk cost effect.
4. Apply stage gate systems and real options reasoning to HR technology pilots.

ONE SOURCE

The same theories as the in class lecture and the course hub, without the simulation data used in class. Course outcomes: CLO 2 and CLO 4.

COMMIT BEFORE THEORY

Commit to an answer first

Six months into an HR system rollout, use is flat. Leadership wants a new launch campaign with posters and a town hall. When is that the right move?

A

Always: more communication fixes low adoption

B

Only if the diagnosis shows people lack awareness or desire, not ability or access

C

Never: campaigns never work

D

Only if the vendor pays for it

EXAM LENS

The answer is B. Communication moves awareness and desire; it cannot fix knowledge, ability or access.

LEWIN (1947; 1951)

Unfreeze, change, refreeze, and the force field

Unfreeze

Make the case that the present way cannot continue; lower the forces holding it in place.

Change

Move to the new way, with support while people learn.

Refreeze

Embed the new way in routines, rules and rewards so it holds.

EXAM LENS

Lewin’s deeper idea is the force field: change the balance of driving and restraining forces. Reducing restraints often works better than pushing harder.

KOTTER (1996; 2014)

Eight stages of leading change

Create the climate

1 Establish urgency. 2 Build a guiding coalition. 3 Form a vision and strategy.

Engage and enable

4 Communicate the vision. 5 Empower broad action and remove obstacles. 6 Generate short term wins.

Implement and sustain

7 Consolidate gains. 8 Anchor the change in the culture.

EXAM LENS

Skipping stages creates only the illusion of speed; most failures are in the first three. Accelerate (2014) adds a dual operating system: the hierarchy runs the business while a network drives change. Critics: a top down sequence; real change loops back and needs bottom up voice. Removing obstacles for the frontline means devices and language, not more announcements.

HIATT (2006); PROSCI

ADKAR: change one person at a time

Element	What it means	Common mistake
Awareness	Of the business reasons for change, from people employees trust: why this, why now, what if we do not?	Announcing without explaining
Desire	The personal choice to support it: what is in it for me? Typically the hardest	Assuming awareness creates desire
Knowledge	Of how to change	Training too soon, before awareness and desire
Ability	Turning knowledge into action through coaching, practice time and feedback	Treating knowing how as being able to
Reinforcement	Recognition, rewards, accountability, removing barriers	Stopping support at go live

EXAM LENS

The first stalled element is the barrier point: fix it before working on the next. Prosci reports about half of resistance is avoidable; it stems from unclear reasons, role change, fear, low trust and exclusion.

THREE MODELS, THREE LEVELS

Use them together

	Lewin	Kotter	ADKAR
Level	Group and organization	Organization and its leaders	Individual
Core idea	Balance of forces; unfreeze, change, refreeze	Eight stages in order	Five outcomes per person
Best for	Seeing what restrains change	Sequencing leadership action	Diagnosing where people are stuck
Blind spot	Little on how to lead	Little on the individual	Little on politics and power

EXAM LENS

Kotter sequences leadership action; ADKAR locates individual barriers; UTAUT names which obstacle to remove.

DIAGNOSE, THEN DECIDE

Scale, fix integration, retrain or pause

If the evidence shows	Likely barrier	Action
Use high and spreading; barriers minor; support capacity ready	Reach to new groups	Scale, with devices, channels and champions
Repeat entry, data that does not match the record, switching systems	Effort expectancy; data quality	Fix integration before more launches
Device and access exist, but use and scores are low	ADKAR knowledge or ability	Retrain, on the job and in their language
Harm (a fairness or privacy failure), system errors, or no access	Desire; system quality; access	Pause, repair, rebuild trust

EXAM LENS

Training does not fix access; fixing access does not fix a bad process. The wrong remedy spends change capital without moving the barrier.

DECIDE IN ADVANCE

Set the scale, fix or stop rule before the pilot starts

The metric

One measure that shows success, such as weekly active use among frontline staff.

The threshold

The number that triggers each decision, written down before results arrive.

The owner

The person who must act on the result, with authority to stop.

EXAM LENS

Once money and reputations are invested, people defend the project instead of reading the data. A rule set in advance protects the decision.

THEORY IN DEPTH · STAW (1976)

We throw good money after bad

The core idea

Escalation of commitment: people who made a failing decision invest more to justify it.

How it works

Personal responsibility for the original choice raises the urge to continue after bad news.

Limits and critique

Sometimes persistence is right; the problem is persistence that ignores evidence.

IN PRACTICE

The team that chose a tool is the team least able to see it failing; invite outside review.

EXAM LENS

Distinguish escalation (driven by self justification) from the sunk cost effect (driven by past spending).

THEORY IN DEPTH · ARKES AND BLUMER (1985)

Sunk costs should not drive decisions

The core idea

Money already spent cannot be recovered, yet people let it shape future choices.

How it works

Decisions should compare future costs and benefits only; past spending is irrelevant to what comes next.

Limits and critique

Sunk costs can carry information about commitment and reputation, so the rule is not absolute.

IN PRACTICE

Licenses already paid for an unused system are irrelevant; the only question is whether future spending is the best use of money.

EXAM LENS

Show the critique: the normative rule is clear, but reputation and contracts complicate it.

THEORY IN DEPTH · COOPER (1990)

Stage gate: decide at each gate whether to continue

The core idea

Projects move through stages separated by gates where leaders decide go, kill, hold or recycle.

How it works

Each gate has criteria set in advance and a named decision owner.

Limits and critique

Too many gates can slow change and reward paperwork over learning.

IN PRACTICE

Treat each wave of adoption data as a gate, with go, fix or stop criteria written before the data arrive.

EXAM LENS

Stage gate is the institutional answer to escalation: it pre commits the decision criteria.

THEORY IN DEPTH · DIXIT AND PINDYCK (1994); MCGRATH (1999)

Small bets keep options open

The core idea

Real options thinking: a pilot buys the right, but not the obligation, to scale later.

How it works

Spend a little to learn; scale only when evidence is good. Uncertainty makes the option more valuable.

Limits and critique

Options are hard to value precisely, and pilots can drag on without a decision.

IN PRACTICE

A vernacular messaging leave flow piloted in a few frontline sites is a cheap option; a nationwide launch gives the option away.

EXAM LENS

McGrath reframes failure as the cost of learning; use this to argue for disciplined pilots.

APPLY

A payroll self service rollout that stalled

Teaching case (Course framing)

A Pune construction firm moved 7,000 site and office staff to payroll self service. In month two, a data error under paid 900 site workers. Use then fell from 55% to 20%. Leadership plans a new poster campaign and an incentive for logging in.

Work it through

1. Where are site workers stuck in ADKAR?
2. Which Kotter stage did the firm skip or damage?
3. Is a campaign the right remedy? Use the diagnosis table.
4. What would unfreezing look like now, in Lewin’s terms?

A FRAMEWORK FOR ANY CASE

For any real stalled rollout, locate the stall: reach (access), ability (skills), will (desire or trust) or fit (integration and process)? What changed to recover, how long did it take, and what did it cost in trust?

COMMON CONFUSIONS

Tempting readings, and better ones

A tempting reading	A better reading
More communication fixes low adoption	It moves awareness and desire; it cannot fix knowledge, ability or access
Kotter and ADKAR are rival models	Kotter sequences leadership action; ADKAR locates individual barriers
Pausing a rollout is failure	Pausing to repair a broken system protects trust
What we have spent justifies continuing	Sunk costs are irrelevant to the next decision

COMPARE AND EVALUATE

Seven lenses on correcting course

Theory	Explains	Prescribes
Lewin	What restrains change	Reduce restraining forces
Kotter	How leaders sequence change	Eight stages, none skipped
ADKAR	Where individuals are stuck	Fix the barrier point first
Staw (1976)	Why failing projects continue	Outside review; separate decision from decision maker
Arkes and Blumer (1985)	Why past spending distorts choice	Compare future costs and benefits only
Cooper (1990)	How to structure the decision	Gates with pre set criteria and owners
Real options	Why small bets are valuable	Pilot, learn, then scale

PRACTICE FOR THE END TERM EXAMINATION

Questions to rehearse (1 of 2)

An Indian public sector bank's new HR system has stalled a year after launch. Using Lewin, Kotter and ADKAR, diagnose the stall and recommend whether to scale, fix, retrain or pause. Justify your choice and state what evidence would change it. **20 marks**

A strong answer: explains each model at its own level; uses ADKAR to locate the barrier point for two groups; chooses from the diagnosis, not by default; states evidence that would change the decision and one limit.

"Projects that should stop keep going." Explain why, and evaluate the safeguards organizations can use. **20 marks**

A strong answer: explains escalation and sunk cost; evaluates stage gate and real options; notes their limits.

PRACTICE FOR THE END TERM EXAMINATION

Questions to rehearse (2 of 2)

A new HR app shows high use among office staff and almost none among frontline staff six months after launch. Using course correction options and decision theory, advise the CHRO. **20 marks**

A strong answer: matches responses to barriers; sets decision rules; applies escalation and sunk cost; recommends a staged, option preserving path.

Distinguish escalation of commitment from the sunk cost effect. **10 marks**

A strong answer: gives the different mechanisms and an HR example of each.

CARRY THESE INTO THE EXAMINATION

Four things to remember

1. **Three models, three levels.**
   Forces, leadership stages, individual outcomes.

2. **Match the response to the barrier.**
   Scale, fix, retrain or pause.

3. **Write decision rules before the results arrive.**
   Pre commitment protects the decision.

4. **A plan that never changes after evidence is a hope, not a plan.**
   Ignore sunk costs; keep options open.

SET READINGS · FROM THE LESSON PLAN

Read for this lecture

- Revisit Venkatesh et al. (2003) and Bondarouk et al. (2017), adoption sections.

NEXT WEEK

- Marler and Boudreau (2017); Davenport, Harris and Shapiro (2010); Fitz-enz and Mattox (2014), Chapters 1 and 2.

> **NOTE**
> The other works named in this lecture are theory sources for reference, not set readings.

Sources for this lecture

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